DBDAB
BCCDC

2.2 supply

1. Which of the following will cause the supply curve for shoes to shift to the right?

(A) An increase in the price of socks, assuming that shoes and socks are complements
(B) A decrease in the price of sandals, assuming that shoes and sandals are substitutes
(C) An increase in the wages of shoe workers
(D) An increase in the number of firms producing shoes ✓
(E) A decrease in the income of consumers, assuming that shoes are normal goods

2. The supply curve for automobiles will shift to the left in response to

(A) an increase in the efficiency of robot technology
(B) an increse in wages in the automobile industry ✓
(C) a decrease in the number of consumers purchasing automobiles
(D) a decrease in the interest rates for automobile loans
(E) a decrease in consumers' income

3. If the government imposes a tax on the production of cars, which of the following will occur in the market for cars?

(A) There will be a movement to the right along the supply curve.
(B) There will be a movement to the right along the demand curve.
(C) The supply curve will shift to the right.
(D) The supply curve will shift to the left. ✓
(E) The demand curve will shift to the right.

4. A change in which of the following will cause a change in the supply of personal computers (PC's) in the short run?

(A) Technology ✓
(B) Demand for PC's
(C) Price of disks, which are a complement to PC's
(D) Price of PC's
(E) Consumers' incomes

5. A leftward shift in the supply curve of watches could be caused by

(A) an increase in the price of watches
(B) an increase in wages paid to workers who produce watches ✓
(C) an improvement in the technology associated with watchmaking
(D) a decrease in the price of parts used in the production of watches
(E) an increase in population

6. An increase in the supply of coffee could be caused by

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(A) a decrease in the price of cream, which is a complement to coffee

(B) a decrease in the cost of labor used to produce coffee ✓

(C) an increase in consumer income

(D) an increase in the demand for coffee

(E) an increase in the price of coffee

7. Assume that apple juice and grape juice are substitutes. Which of the following will cause an increase in the quantity of apple juice supplied?

(A) A decrease in subsidies to apple juice producers

(B) A decrease in the price of grape juice

(C) An increase in the price of apple juice ✓

(D) An increase in the price of insecticides used on apple trees

(E) The imposition of a price ceiling in the market for apple juice

8. In a perfectly competitive market, a change in which of the following could cause a shift in the supply curve?

(A) The incomes of consumers

(B) The number of buyers

(C) Technology ✓

(D) The price of the product

(E) Tastes and preferences

9. Which of the following will shift the supply curve for apples to the right?

(A) An increase in consumers' income

(B) An increase in the price of apples

(C) An increase in the wages of apple pickers

(D) A decrease in the rental price for apple harvesting equipment ✓

(E) A decrease in the demand for oranges, a substitute in consumption

Answer D

Correct. A decrease in the rental price for apple harvesting equipment will increase the productivity of workers and lower the cost of production, causing the supply curve for apples to shift to the right.

10. In the short run, a decrease in production costs of a product will shift

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(A) both the demand curve and the supply curve to the right

(B) the demand curve to the left and the supply curve to the right

(C) only the supply curve to the right ✓

(D) only the supply curve to the left

(E) only the demand curve to the left

11. Ice cream is a normal good. Ice cream and hot fudge are complementary goods, while ice cream and gelato are substitute goods. Which of the following could lead to an increase in the equilibrium price and an indeterminate change in the equilibrium quantity of ice cream?

(A) Consumer incomes rise, and the price of hot fudge increases.

(B) Bacteria in ice cream facilities leads to a number of consumers being hospitalized, and increased dairy production leads to lower input costs for ice cream.

(C) The price of gelato increases, and new technology increases efficiency of ice cream production.

(D) A new study indicates that ice cream is associated with improved bone health, and a leading ice cream producer declares bankruptcy. ✓

(E) A newly popular diet includes avoiding dairy products, and the government begins to subsidize ice cream production.

Answer D

Correct. A study indicating that ice cream can improve bone health would increase demand for ice cream, causing an increase in the equilibrium price and quantity of ice cream. The bankruptcy of a leading ice cream producer would decrease the supply of ice cream, causing an increase in the equilibrium price and a decrease in the equilibrium quantity of ice cream. Both changes would cause an increase in the equilibrium price of ice cream and an indeterminate effect on the equilibrium quantity of ice cream.

12. Which of the following would shift the short-run supply curve for strawberries?

(A) A decrease in the consumption of strawberries

(B) An increase in the price of strawberries

(C) A strike by all farmworkers ✓

(D) An increase in household incomes

(E) An announcement of a study that shows the health benefits of eating strawberries

13. Which of the following changes will lead to an increase in the supply of good X?

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(A) An increase in the price of good X

(B) An increase in the wages of labor used to produce good X

(C) A decrease in the price of energy, a key input to the production of good X ✓

(D) An increase in the demand for good X

(E) A decrease in the number of sellers of good X

Answer C

Correct. A decrease in input prices (energy prices) decreases the cost of production and shifts the supply curve to the right. As a result, more of the good will be offered for sale at each possible price for the good.

14. Which of the following explains why the supply curve is upward sloping?

(A) At a higher price, consumers are willing to buy more of the good.

(B) At a lower price, consumers are able to buy more of the good.

(C) Producers receive subsidies as they increase production.

(D) At a higher quantity, producers are more able to control the market price.

(E) At a higher price, producers are willing to sell more to increase their profits. ✓

Answer E

Correct. All other things remaining constant, an increase in price of a good increases profitability, incentivizing sellers to increase the quantity supplied. Thus, as price increases the quantity supplied increases, implying that the supply curve is upward sloping.

15. Which of the following statements about the market supply curve is true?

(A) An increase in input prices will shift the market supply curve to the right.

(B) At each price, a horizontal summation of the quantity supplied by each firm will yield the market supply curve. ✓

(C) At each quantity supplied, a vertical summation of the price set by each firm will yield the market supply curve.

(D) A decrease in the price will shift the market supply curve to the left.

(E) The law of supply states that the market supply curve may shift right, shift left, or remain the same as the price increases.

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Answer B

Correct. The market supply is the total quantity of a good or service all producers are willing to provide at the prevailing set of relative prices during a defined period of time. Therefore, the market supply curve is derived by the horizontal summation of the quantity supplied by each firm in the market at each price.

16. The market supply curve for a product is derived from the individual firm supply curves by

(A) multiplying the equilibrium quantity sold by the number of consumers in the market
(B) multiplying the equilibrium quantity sold by the number of producers in the market
(C) multiplying the quantities each producer sells by the market price
(D) summing the quantities each producer sells at each possible price ✓
(E) summing the quantities each producer sells and multiplying by the market price

Answer D

Correct. The supply curve describes the relationship between prices and quantities supplied for each producer in the market. The market supply curve is obtained by horizontally summing the individual supply curves (that is, by adding the quantities supplied at each possible price by each producer in the market).

17. Which of the following would cause the supply curve for notebook computers to shift to the right?

(A) An increase in the price of notebook computers
(B) An increase in the number of firms producing notebook computers ✓
(C) An increase in the wages of workers in the notebook-computer industry
(D) A decrease in the price of notebook computers
(E) A decrease in the supply of notebook computers

18. Which of the following statements relating to supply is true?

(A) An increase in an input price will lead to an increase in supply.
(B) An increase in the price of a good will lead to an increase in the supply of the good.
(C) A decrease in consumers' income will lead to a decrease in the supply of the good.
(D) A decrease in the price of a good will lead to a decrease in the quantity supplied of the good. ✓
(E) A decrease in the price of a substitute good in production will lead to a decrease in the supply of another substitute good.

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Answer D

Correct. This describes the law of supply, which describes a movement up along a given supply curve—a decrease in price causes a decrease in the quantity supplied of the good.

19. Which of the following will occur as a result of a decrease in the prices of the inputs used to produce a good?

(A) The quantity supplied would increase at each possible price for the good. ✓

(B) The price of the good would increase for any given quantity supplied.

(C) The quantity supplied would increase as the price of the good increased.

(D) The quantity supplied would increase as the price of the good decreased.

(E) The price of the good would increase as the quantity supplied decreased.

Answer A

Correct. A decrease in input prices lowers the cost of production and shifts the supply curve to the right. As a result, more of the good will be offered for sale at each possible price for the good.